cent of the amount invested—or $1.1 billion—to NTT Docomo in case Tata Docomo failed to meet its performance targets.

The venture failed and the Japanese partner invoked the exit provision. This was, however, to no avail, as the share prices had plummeted and the only way the agreement could be fulfilled was by TTSL buying the shares from its Japanese collaborator.

Docomo invoked the arbitration clause and won an award of $1.17 billion. The Tatas under Mistry stuck to the legal position that it would not be able to make good the award. It refused payment stating that doing so would involve a violation of Reserve Bank of India regulations.

'He [Mistry] was ambivalent' in his approach to the issue, says Subedar. For Ratan, his successor's actions were presages that the group would lose its reputation for fair play and its unwavering adherence to its commercial commitments. And if the group abandoned its long-held principles, it would lose its distinctive character among Indian industries.

Ratan was unambivalent that a solution had to be found for the Tatas to make good their commitment. It behoved the group to find a way out of the imbroglio. The Tata Group was known for its adherence to ethical standards, and it couldn't depart from them.

'If it has made a commitment, then it has to in good faith implement it,' Ratan says. He also said that adhering to the commitment was uncompromisable as 'when the Tata Group sits across tables negotiating agreements, the other party should have the confidence that when the group commits, it would not escape from it [the deal]'. A conglomerate with a large overseas presence cannot afford any other reputation, he adds. It would not only affect the existing operations but also future expansion plans and raise the cost of capital. On the other hand, Mistry was 'trying to wriggle out by using the Reserve Bank or the finance ministry', and their rules for not paying, says Venu Srinivasan.

For Ratan, there was another important issue of India's standing in the global market. In case TTSL did not meet its obligations, the country's reputation would take a beating. He was convinced that for India to fulfil its global aspirations, it was imperative for it to source technology and enter myriad collaborations with foreign companies. If India Inc. earned ill repute by breaching its contractual obligations on technical grounds, international companies would be hesitant to enter into agreements with Indian entities.